

CHINESE INVASION OF TAIWAN

POLITICAL RISK ANALYSIS FOR EU COMPANIES
INVESTING IN TAIWAN
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INTRODUCTION

Since the eruption of Civil war and the establishment of the rule of the Chinese Communist Party in China in 1949, Taiwan and China have been ruled separately.

Taiwan, an island nation, is approximately 100 miles off the coast of China. Originally occupied by various indigenous tribes, Taiwan came under Chinese rule in the 17th century. After China lost the first Sino-Japanese war, Taiwan became a Japanese colony in 1895. In 1945, upon the end of World War Two, the island went back to China. However, the China that took control of Taiwan would soon see a civil war between the current nationalist government and the rising Communist government. The former was led by General Chiang Kai Shek and the latter led by Mao Zedong. The Communists saw victory in 1949 and the nationalists retreated to Taiwan where they ruled for the following few decades. This marked the establishment of what they termed the Republic of China (ROC), also known as Taiwan.

While only 12 countries (and the Vatican) diplomatically recognise Taiwan today, the small nation has come to hold great economic and strategic importance globally, with the USA being one of its major allies. Its geographical location in the "first island chain" makes it crucial to American policy in the region and a relevant partner for the US to have as it balances China's power and claims in the South China Sea. Its place in the global economy is also relevant as Taiwan's chip manufacturing drives the world's electronics.

Beginning 2022 and heightened since, there has been an overwhelming international fear of a Chinese invasion of Taiwan. It can be argued that this was sparked by the Russian invasion of Ukraine, which seems to have multiple parallels with a potential Chinese Invasion of Taiwan: a large, non-democratic neighbouring country invading a smaller, democratic nation and threatening the current world balance of power. However, the newfound attention being given to this possibility could also be attributed to a general sense of insecurity in the West from an increasingly powerful China or a world-wide sense of instability fuelled by multiple physical conflicts that have gained immense attention due to their politically charged nature.

Nevertheless, China has also seemingly increased the stakes with more of a presence in the Strait, a focus on building its military and claims from Xi Jinping and officials in Beijing that "reunification" is on the Chinese agenda. A 2020 announcement by Chinese leadership stated that 2027, the centennial anniversary for the People's Liberation Army, would mark the modernisation of the Chinese army. This year has since become one of debate, with few considering whether it indicates an imminent Chinese Invasion of Taiwan.

Given this, this report will explore the probability that ***China launches an invasion of Taiwan by 2027***. Given The Company's investments in Taiwan, the results of this report will be relevant to gaining a better understanding the political risk of maintains these investments in the country and the region. This report will create a political risk index, comprised of the 5 following parameters:

Chinese Military Capabilities, Relationship with the Taiwanese Government, Chinese Domestic Politics, Economic and Semiconductor Dependency and Other Strategic Powers.

Each parameter will be discussed, explained and evaluated to determine the probability of China invading Taiwan if it considered only that parameter. After this, a calculation of total risk will be presented taking into account the probabilities and weightages of each variable. The report will conclude with an overall risk prediction as a percentage.

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<i>Parameter</i>	<i>Risk of Invasion Launch (%)</i>	<i>Weightage (%)</i>	<i>Weighted Risk (%)</i>
<i>Chinese Military Capabilities</i>	12	25	3
<i>Relationship with the Taiwanese Government</i>	45	15	6.75
<i>Chinese Domestic Politics</i>	10	15	1.5
<i>Economic and Semi- conductor Dependency</i>	8	25	2
<i>Other Strategic Powers</i>	15	20	3
Total Risk			
16.25			

1. Chinese Military Capabilities

The Chinese military power has been noticeably increasing in the past decade, putting the USA, western nations, and Japan on high alert. Compared to Taiwan, China spent 23 times more on its military in 2021.

However, a full-scale military Invasion of Taiwan will demand much from China for various reasons. To begin, crossing the strait with a large enough fleet and army will take numerous days and will be difficult to do discreetly, exposing Chinese forces to early counterattack. Despite its drastic growth, the Chinese navy still remains weaker than it should be for a successful naval Invasion of the island. Waters near the shore are shallow and not all equipment will be able to navigate this. Furthermore, moving artillery from water to the shore and land will take time that leaves the Chinese side open to fire from Taiwan. Even once on ground, Taiwan's terrain is treacherous, with mountainous landscape that will prove difficult for an inexperienced Chinese army to navigate. Furthermore, it provides the perfect grounds for guerrilla warfare from Taiwanese forces that are much more acquainted with the territory. These difficulties may

require China to focus on an Invasion of Taipei in an attempt to gain power by ousting the government. However, with few ports, roads and access points, Taipei is conveniently located in a geographical bowl that allows for access to it to be cut off easily. Lastly, even within Taipei, the capital city that hosts more than 25% of Taiwan's population, it will take immense effort for the Chinese forces to win in urban warfare across the city, making a military attack slow and costly.

These factors combined mean that despite its growth in recent years, the Chinese military is not prepared for the time and intensity of a demanding military attack on Taiwan, thus rendering the probability of them carrying it out low with respect to this factor as of now.

However, China's military capability is a very important factor that largely determines the potential success of an invasion. While the state of its military currently does not seem enough to begin an invasion/attack on Taiwan, should it be ready in the future, this factor would be a driving force in the decision to take aggressive action as it can either make or break a decisive victory. Therefore, this factor must be accorded a high weightage.

2. Relationship with the Taiwanese Government

China's relationship with the Taiwanese government is also a factor in its decision to invade. Since 1949, governments and parties in Taiwan have had relationships and levels of closeness with China. Whether the Taiwanese government in Taipei favours close political ties with Beijing or not can determine whether China feels the need to assert power militarily (if it cannot do so politically.)

Currently, political relations have been strained, especially since 2016, with the election of the strongly pro-independence President Tsai Ing-wen. As a member of the Democratic Progressive Party, he represented the view of the party at large, the same party that has just won its third consecutive election by popular vote in 2024. This makes Beijing's control over the Taiwanese government and politics difficult. It also indicates to Beijing that the popular sentiment on the island is moving away from close Association with China, which is another worrying factor for it. Following this 2024 Presidential election, Washington sent a delegation of former government officials to Taiwan to congratulate the President elect Lai Ching-te.

This is also symbolic of increasingly strong American-Taiwanese ties, which has driven the wedge between Taiwan and China further. Under President Donald Trump, the US sold more than 18 billion dollars worth of arms to the Taiwanese military, which saw public objections from China. Continuing this trend, Biden has held several military dialogues with Taiwan and regularly sails ships through the Taiwan strait to demonstrate its military presence in the region. China, which also does the same drills, may see these increasing political tensions with Taiwan and threatening US -Taiwan friendship as a reason to pivot to military aggression. Given the current situation, this factor seems to influence China's decision to invade more positively than negatively in the current situation.

Overall, this factor may have a relevant, but not deciding impact on China's eventual Invasion as multiple other larger international political and economic forces are equally, if not more influential.

3. Chinese Domestic Politics

A large reason for the increasing worries around a Chinese Invasion of Taiwan is the belief, held by many such as Indo-Pacific Command chief Adm. John Aquilino and the U.S. Air and Space Force's Air University, that China will be ready to invade Taiwan by 2027.

This date was brought to attention in 2020 when Chinese leadership announced 2027 as the new milestone for PLA (People's Liberation Army) modernisation. This date coincides with the 100th anniversary of the PLA's founding. Therefore, this date is domestically important as a show of continued power and influence of the PLA and in turn the CCP over both domestic and international affairs. Many are therefore concerned that this "show of power" expected in the date will come in the form of an Invasion of Taiwan. The need to reaffirm power domestically through international undertakings has been a common move throughout history, arguably seen most recently in Putin's Invasion of Ukraine.

In China, this can be seen by Xi's statement that Taiwan is the "essence" of China's rejuvenation and that unification has to be achieved by 2049, the century anniversary of the Chinese Communist Party. Whether this means an invasion is coming in 2027, 2049, somewhere in between or never was not made clear, but the statement does suggest that Xi may consider using a Taiwanese Invasion as a show of strength beyond the current freedom that China exercises in the Strait.

In August 2023, Xi skipped a major speech at a BRICS summit in South Africa with no explanation. This triggered worries about his health and consequently, the idea that Xi may want to "reunify" China as part of his legacy before he is no longer President, thus prompting an Invasion of Taiwan.

Despite all of these arguments, the current domestic stability of the CCP's rule in China is intact and there does not seem to be any need for an external distraction or aggression to prove a point. While marking the PLA's centennial may be a consideration, by itself, that does not seem to be enough cause to incite major aggression that will inevitably take immense time and resources from China. Therefore, this factor seems to reduce the probability that China will invade Taiwan. Given the International context and relevance of an invasion, this factor considering the domestic perspective has a relevant, yet not deciding impact.

4. Economic and Semiconductor Dependency

As with its military power, China has seen sharp increases in its global economic relevance over the past two decades. From the Belt and Road Initiative to booming foreign investments in sectors such as fashion and luxury, China's economy has seen remarkable growth.

If China were to invade Taiwan, this would be put at risk in numerous ways. To begin, China's trade with Taiwan is significant, despite their political disagreements. While it is unsurprising that China is Taiwan's largest trading partner, the superpower also relies on the small island nation for semiconductor production. Taiwan's biggest offering to the International Community right now, semiconductor chip production is essential to the technology industry globally and Taiwan, led by companies such as NVIDIA, is a key player in the Global supply chain. About 90% of the world's most sophisticated computer chips are made in Taiwan. (According to the TIMES). While countries such as China, the USA, Netherlands, Germany and Japan are all attempting to achieve semiconductor sovereignty, the TIMES has suggested that this is far from complete and is unlikely to be achieved by 2027. While it does make sense for China to attempt to control this chip supply to gain unique power on an international scale, it is unlikely that China will risk its own supply in the process.

This would be coupled with the effects of economic warfare that China would likely see in response to its actions. Sanctions from the USA, EU and Japan, amongst others, would drastically affect China's economy. Bloomberg estimates say that a Chinese Invasion of Taiwan would cost the Global economy approximately 10 trillion dollars, while The Diplomat asserts that it is likely China will struggle more economically as a result in comparison to the West.

These economic factors therefore create economic deterrence that makes the probability of China invading Taiwan very low when considering economic factors.

China as a country relies largely on its economic prowess. It has used this to gain diplomatic power on a global scale and continues to prioritize its economic agenda above all else. It is therefore important to give this factor considerable weightage as it will play a major, if not the most important, role in Beijing's decision to invade Taiwan.

5. Other Strategic Powers

Through a discussion of the rest of the factors, it has become evident that China must consider a response from other international actors if it invades Taiwan. Most notably, this would come from the USA and its allies in the region, Japan and Australia. Although the USA only maintains diplomatic relations with China and not Taiwan, it has a strong relationship with the island nation. Other than ideological similarities, trade, military supply sales and a vested interest in semiconductor manufacturing, the USA has also indicated that it is committed to Taiwan's physical security. Since his election, Biden has repeatedly indicated that the USA would send troops to aid Taiwan in the event of an invasion.

Reuters reported on American preparations in the region in January. Last summer, American and Australian troops held military exercises in the Indo-Pacific, practicing amphibious landings, ground combat and air operations. It is seen that the USA is beginning to build its military strength in the region in multiple ways. "We're looking to do this more and more," Army General Charles Flynn, the top American Army commander in the Pacific, said. This comes at a time when sending aid to Ukraine has allowed the realisation that doing so with Taiwan would be much more difficult.

Through the drills with Australia last year, it left stockpile of military equipment roughly 330 vehicles and trailers and 130 containers. Other than Australia, the USA is trying to establish logistical efficiency and ready to go backup in other nations within the region as well, such as the Philippines and Japan. The USA is currently prioritizing ammunition, followed by fuel, food and spare parts. The USA is also working to secure current bases in the region such as the U.S. naval base on the Japanese island of Okinawa and the Yokota Air Base in western Tokyo.

China's view of these other strategic partners and their extent of their power within the Indo-Pacific is therefore important as it may determine whether China thinks it can have a victory or not. Relations with the USA, outside the region as well, as they may convince China to consciously either provoke or not a conflict with the USA.

Given the current circumstances, the USA and its allies have a combined strong presence in the region that is working towards militarily deterring China from invading Taiwan. China's view of other strategic powers is a considerably relevant factor in its decision to invade Taiwan as it will determine the extent of pushback and repercussions that China will have to face, thus being a deciding factor in whether the Invasion is worth it.

CONCLUSION

In conclusion, it can be reported that currently, it is unlikely that China will launch an Invasion of Taiwan by 2027. Given the historical and current context, a Chinese invasion of Taiwan poses a low risk. This is despite the fact that the China-Taiwan relationship is currently very strained. Despite this strain, the domestic politics of China do not currently demand drastic international action from the government. More importantly, the Chinese military, despite its growing strength, is not yet equipped to deal with the nuances of an invasion of Taiwan. The costs of this invasion economically as well would not be worthwhile as lost trade and chip supplies from Taiwan as well as other countries that retaliate will drastically handicap the Chinese economy. Finally, the USA and its allies are increasing their presence and strength in the region. While still having progress left, these countries' actions not only show a determination to get involved in the chance of an attack but also indicate to the Chinese government that an invasion could lead to extensive and prolonged fighting without definitive success. Overall, a Chinese invasion of Taiwan by 2027 would not be in its best strategic interests and is therefore unlikely.

While this index reflects the situation at the current time, some key events that would significantly change this prediction would be:

1. The new American government in 2024 drastically changing its policy towards China (much more hardline stance) or Taiwan (much more open commitment to collective defence). (Both the Trump and Biden administration have had similar stances towards China and Taiwan and thus this report specifies the change in approach of a new administration rather than just the results of the Presidential election).

2. Russia's successful occupation of the entirety of Ukraine (as this would shift the global balance of power, create panic in the West and increase China's confidence in following Russia's footsteps).

3. Cyber and missile attacks on Taiwan (whether anonymous or claimed by China, it is the popular expert opinion that a Chinese Invasion of Taiwan would be preceded by smaller 'test' attacks as such).

4. The blocking of one or more ships in the Strait by China, signaling the initiation of an embargo around Taiwan (which could eventually lead to physical conflict).

Overall, it is imperative to continue monitoring the situation to be able to take action in the case of one of these 4 events. However, given the results of the index, a Chinese invasion of Taiwan should not be at the forefront of investment or business concerns for the next 3 years.

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